

# Friendly Fraud & Chargeback Prevention Engine

A Strategic Framework for Card Networks, Issuers, Acquirers & Merchants

June 2026 | Problem Statement

**\$117B+**

Annual Global Chargeback Cost

**\$3.75**

Lost per \$1 of Fraud (Merchants)

**206%**

Rise in Friendly Fraud (5 Yrs)

**40–80 bps**

Chargeback Fees on Gross Revenue

## EXECUTIVE SUMMARY

Friendly fraud — where cardholders initiate chargebacks for legitimate transactions — has emerged as the defining financial integrity challenge of the digital payments era. Unlike traditional fraud executed by third-party criminals, friendly fraud exploits the consumer protection infrastructure built by card networks, weaponizing it against the very merchants those protections were designed to serve alongside.

This memorandum quantifies the systemic economic damage, maps the drivers, and proposes a five-lever strategic framework to bend the chargeback cost curve. The findings are directly actionable for strategy and product leaders at card networks (Visa, Mastercard, Amex), issuing banks, acquiring banks, and payment processors.

## 1. THE CARD PAYMENT ECOSYSTEM

Every card transaction traverses five distinct participants, each with differentiated economic incentives and chargeback exposure. Understanding these interdependencies is prerequisite to designing effective prevention.

| PARTICIPANT       | ROLE IN ECOSYSTEM                                                               | CHARGEBACK EXPOSURE                                                                                             |
|-------------------|---------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------|
| <b>Cardholder</b> | Consumer or business initiating the transaction using a credit/debit card       | May file illegitimate disputes claiming non-receipt or non-authorization — the primary source of friendly fraud |
| <b>Merchant</b>   | Retailer or service provider accepting card payments at point of sale or online | Bears the primary financial burden: loses goods/services, chargeback fees, and potential network penalties      |
| <b>Acquirer</b>   | Bank or processor that onboards the merchant and settles funds on their behalf  | Must manage merchant risk portfolios; excess chargebacks trigger network fines and reputational risk            |

|                     |                                                                                     |                                                                                                              |
|---------------------|-------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------|
| <b>Issuer</b>       | Cardholder's bank that issues the card, extends credit, and adjudicates disputes    | Processes dispute claims, absorbs operational costs, and determines fault allocation in chargeback decisions |
| <b>Card Network</b> | Visa, Mastercard, Amex — set rules, route transactions, and penalize non-compliance | Enforces chargeback thresholds (Visa: 1% / Mastercard: 1.5%), levies fines, and dictates dispute timelines   |

## 2. KEY CONCEPTS: CHARGEBACKS, FRIENDLY FRAUD & FIRST-PARTY MISUSE

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### Chargebacks

A chargeback is a payment reversal initiated by the issuing bank on behalf of a cardholder who disputes a transaction. Originally designed as a consumer protection mechanism, chargebacks reverse settlement funds from the merchant, impose per-dispute fees (\$20–\$100), and — if dispute ratios exceed network thresholds — trigger formal monitoring programs that risk merchant account termination.

### Friendly Fraud

|                   |                                                                                                                                                                                                                          |
|-------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>DEFINITION</b> | A cardholder files a dispute on a legitimate transaction they authorized and received — claiming non-delivery, non-authorization, or dissatisfaction — with the intent to retain goods and recover funds simultaneously. |
|-------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

Friendly fraud is structurally distinct from third-party fraud. There is no stolen credential, no compromised account. The cardholder is the perpetrator. This distinction renders traditional fraud detection mechanisms — which look for anomalous external actors — largely ineffective.

### First-Party Misuse

A broader category encompassing friendly fraud, first-party misuse includes: (a) intentional abuse of dispute rights with no good-faith basis, (b) family fraud where another household member uses a card and the account holder disputes the charge, and (c) subscription amnesia where a cardholder disputes recurring charges they forgot they authorized. Studies by Chargebacks911 and LexisNexis indicate that 60–80% of all chargebacks filed are attributable to first-party misuse rather than genuine third-party fraud.

### Merchant Losses

Merchants bear asymmetric risk. For each dollar of disputed transaction value, total cost of chargeback reaches \$3.75 (LexisNexis 2023) when accounting for lost merchandise, fulfillment cost, chargeback fees, representment labor, and revenue loss from account suspension. High-dispute merchants also face elevated interchange rates and acquirer risk surcharges.

### Network Costs

Card networks incur costs through compliance infrastructure maintenance, transaction reversal processing, and reputational risk to network integrity. More critically, networks lose the interchange income on reversed transactions and must invest in fraud monitoring infrastructure to maintain the trust that underpins card acceptance globally.

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### 3. ECONOMIC IMPACT: QUANTIFIED

Global chargeback-related losses exceed \$117 billion annually and are growing at approximately 20% CAGR, driven by accelerating e-commerce penetration, growing consumer awareness of dispute rights, and digital-first business models that lack physical delivery proof.

| STAKEHOLDER   | EST. ANNUAL IMPACT | COST COMPONENTS                                                                                                                                                |
|---------------|--------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Merchants     | \$89B–\$100B       | Lost revenue + goods, chargeback fees (\$20–\$100/dispute), operational costs, network penalties, increased processing rates, reputational risk with acquirers |
| Issuers       | \$12B–\$17B        | Dispute processing labor (\$15–\$25/case), write-offs on approved fraud claims, regulatory compliance costs, cardholder attrition from poor dispute UX         |
| Card Networks | \$6B–\$10B         | Lost interchange on reversed transactions, compliance infrastructure, fraud monitoring systems, network integrity reputational exposure                        |
| TOTAL SYSTEM  | ~\$117B+           | Conservative estimate; includes ripple effects on insurance, operations, and second-order compliance costs across the payments value chain                     |

|             |                                                                                                                                                                                                                                                |
|-------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| KEY INSIGHT | The \$117B figure understates true system cost. It excludes second-order effects: increased insurance premiums, higher interchange for high-risk MCCs, technology investment mandates, and legal costs of chargeback representment litigation. |
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### 4. TOP DRIVERS OF CHARGEBACKS

Six primary vectors drive chargeback frequency and severity. Risk is multiplicative, not additive — a subscription digital goods transaction from a customer with prior disputes in a cross-border context compounds risk exponentially.

| DRIVER                | EXAMPLES                                                                   | RISK LEVEL  | MECHANISM                                                                                                |
|-----------------------|----------------------------------------------------------------------------|-------------|----------------------------------------------------------------------------------------------------------|
| Merchant Category     | Digital goods, travel, gaming, subscription SaaS                           | Very High   | Intangible fulfillment; no physical proof of delivery; buyer's remorse common                            |
| Subscription Services | Recurring billing, free trials, membership platforms                       | High        | Consumers forget enrollment; dispute billing as unauthorized; 60–90 day lag between charge and dispute   |
| Transaction Size      | >\$200 single transaction                                                  | High        | Higher motivation to dispute; threshold where cardholder perceives meaningful financial recovery         |
| Customer Behavior     | New accounts, first transaction, single purchase, late-night orders        | Medium–High | Behavioral signals indicating elevated risk; velocity checks and device fingerprinting highly predictive |
| Historical Disputes   | Prior dispute on account, returned goods ratio, multiple claims in 90 days | Very High   | Strongest predictive signal; serial friendly fraud offenders cluster around repeat dispute history       |

|                           |                                                                      |               |                                                                                           |
|---------------------------|----------------------------------------------------------------------|---------------|-------------------------------------------------------------------------------------------|
| <b>Geographic Signals</b> | Cross-border, mismatched billing/shipping country, high-risk regions | <b>Medium</b> | Jurisdictional arbitrage; chargeback success rates vary by issuer country dispute culture |
|---------------------------|----------------------------------------------------------------------|---------------|-------------------------------------------------------------------------------------------|

## 5. PROBLEM STATEMENT & OPPORTUNITY

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### Problem Statement

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|----------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>PROBLEM</b> | The card payments ecosystem lacks a pre-authorization, network-integrated mechanism to identify high-probability friendly fraud transactions before dispute initiation — resulting in \$117B+ in annual recoverable losses borne disproportionately by merchants and acquirers, with issuers and networks facing growing operational and reputational exposure. |
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### Opportunity Statement

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|--------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>OPPORTUNITY</b> | A real-time, cross-network chargeback prevention engine — combining behavioral ML scoring, pre-dispute merchant notification, and consortium-level serial disputer identification — could deflect 25–40% of all friendly fraud chargebacks at point of authorization, unlocking \$29–\$47B in recoverable annual value across the payments ecosystem. |
|--------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|

### Strategic Implications

#### For Card Networks:

- Chargeback thresholds are a blunt instrument — replace with risk-tiered monitoring to reduce false exits and maintain merchant network depth
- Consortium dispute data is a network-level competitive advantage; first mover to build cross-issuer dispute identity graph captures structural moat
- Pre-authorization fraud scoring at the network layer is technically feasible and commercially differentiated against competing payment rails (ACH, BNPL)

#### For Issuing Banks:

- \$15–\$25 per dispute processed is operationally unsustainable at scale; automation of evidence review via ML can reduce unit costs 60–70%
- Pre-dispute portals that notify merchants before chargebacks are filed reduce dispute resolution time and improve cardholder satisfaction simultaneously
- Behavioral profiles of serial disputers should trigger enhanced friction at dispute initiation, not post-authorization

#### For Acquirers:

- Merchant chargeback monitoring must evolve beyond binary MATCH list to gradient risk scoring with coaching intervention thresholds
- Evidence-package automation for representment is an immediate ROI opportunity; merchant win rates rise from ~21% to 40%+ with complete documentation

#### For Merchants:

- Invest in delivery confirmation, login/session logging, and device fingerprinting — these triple representment win rates
  - Implement post-purchase communication sequences to intercept buyer's remorse before dispute initiation
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- Segment customer bases by lifetime value vs. dispute history to make proactive refund vs. fight decisions

## **BOTTOM LINE**

Friendly fraud is not a cardholder problem or a merchant problem — it is a systemic architecture problem. The payments ecosystem was designed for physical commerce with clear delivery proof. Digital commerce has made that architecture obsolete. The networks and institutions that design the next generation of pre-dispute intelligence infrastructure will define who captures value in the next decade of card payments.

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